HFDC Credit Cards – Master Product & Operations Manual

Version: 1.0
Effective Date: Draft
Jurisdictional Assumption: India (adapt for other geographies)
Audience: Product, Credit/Risk, Issuing Operations, Customer Service, Disputes/Chargebacks, Legal/Compliance, Finance/Treasury, IT/Engineering, Fraud/Risk Analytics, Partnerships & Marketing

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1) Product Overview

Product Name: HFDC Credit Card (Consumer & SME/Corporate)
Value Proposition

- **Instant to fast approvals** (pre-approved cohorts and digital KYC).
- Rich **rewards** (cashback/points/miles), **EMI** conversion, **contactless** and **tokenized** payments (mobile wallets).
- Transparent **Key Facts Statement (KFS)** with **APR**, fees, and billing rules.
- Strong **security**: 2-factor authentication for online, 3-D Secure, OTP/PIN, and real-time fraud monitoring.

Core Use Cases

- Everyday spend (groceries, fuel, transit), travel & dining, online shopping, recurring payments (bills/subscriptions), emergency credit, expense management for SMEs.

Out-of-Scope

- Prohibited merchants/transactions (sanctions, illegal/regulated activities), cash-like transactions where restricted by policy (e.g., wallet loads, gambling), sanctioned jurisdictions.

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2) Product Lineup (Illustrative)

2.1 Consumer Cards

1. **CC-Classic (Entry)**
    - No/low annual fee, essential rewards (0.25%–1%).
    - Typical credit limit: ₹25,000–₹1,50,000.

2. **CC-Select (Mass Affluent)**
    - 1%–2% cashback/accelerated categories, lounge access (limited).
    - Limit: ₹1,00,000–₹5,00,000.
3. **CC-Signature/Infinite (Premium)**
    - 2%–3% equivalent rewards/miles, global lounges, concierge, travel insurance.
    - Metal/plastic variants; limit ₹3,00,000–₹20,00,000+.
4. **CC-CoBrand (Retailer/Airline/Fuel)**
    - High earn in partner category, partner coupons/vouchers, no-cost EMI tie-ups.
5. **CC-Secured (Against FD)**
    - For thin/no-file or rebuilder segments. Limit = 80%–90% of FD value.
6. **CC-Student/Add-On**
    - Add-on cards for family; primary remains liable. Limits and MCC controls.

2.2 Commercial Cards

1. **CC-SME (Business Credit Card)**
    - GST invoice support, category caps, employee sub-cards, spend controls.
2. **CC-Corporate/P-Card/T\&E**
    - Central billing, policy rules (MCC/time/location caps), travel expense integrations.

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3) Card-Linked Loan & Installment Products

1. **EMI on Purchase (Merchant/Statement EMI)**
    - Convert eligible transactions (e.g., ≥₹2,500) into 3/6/9/12/24-month EMIs.
    - Pricing: 12%–24% p.a. equivalent; one-time processing fee 0%–3%.
    - **No-Cost EMI:** merchant/OEM pays subvention; disclose in KFS.
2. **Instant Loan on Card / Loan-on-Phone (LoP)**
    - Term loan booked on the card line; cash to bank account.

    - Fixed EMI; may block a portion of available limit or extend an additional line (policy).

3. **Balance Transfer (BT) / BT-to-EMI**
    - Takeover of other card balances at promo rate (e.g., 0.99%–1.49% p.m.) for 3–18 months + processing fee.
4. **Cash Advance**
    - ATM withdrawal up to a cap (e.g., 20%–40% of limit), **no grace period**, fee + higher APR.
5. **POS/Offline EMI**
    - Instant EMI at merchant POS with on-device eligibility check.

Important: Loans/EMIs must show **APR**, **fees**, **prepayment rules**, and **impact on available credit limit** clearly in the KFS and statements.

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4) Eligibility & How to Get a Card (Customer-Facing)

4.1 Who Can Apply

- **Salaried:** 21–60 years, minimum net monthly income (e.g., ₹20k–₹40k tier-wise).
- **Self-Employed/Professional:** 21–65 years, 2+ years business vintage, ITR & banking proof.
- **Students/Thin-file:** Via **Secured Card** (FD-backed) or as **Add-On** to a primary cardholder.

4.2 Documents Required (Illustrative)

- **KYC:** PAN; OVD (Aadhaar—voluntary/Passport/DL/Voter ID); photo; mobile/email verification.
- **Income Proof:**
    - Salaried: last 3–6 months salary slips + salary-credit bank statement; Form 16 (if required).
    - Self-Employed: ITR 2 years + audited financials/GST + bank statements 6–12 months.
- **Address Proof:** Utility bill/bank statement/passport/Aadhaar (voluntary).
- **For Secured Card:** FD receipt/creation form and lien authorization.

4.3 10-Step Application Journey

1. **Check Eligibility** on HFDC app/website; view indicative limit & rate band.
2. **Submit Application** with eKYC and consents (bureau, bank analyzer where applicable).
3. **Upload Income Docs** (or auto-fetch via consented APIs).
4. **Underwriting Decision** (score + rules + human review if needed).
5. **Sanction & KFS** issued with credit limit, APR, fees, billing cycle.
6. **Card Fulfilment**: virtual card (immediate) + physical card (courier).
7. **Activate Card** via app/IVR/ATM (set PIN, enable channels—online/contactless/intl).
8. **Add to Wallets** (mobile tokenization); set spend controls (MCC, country, channel).
9. **Use Card**; track spends/rewards; set autopay/alerts.
10. **Statement & Payment** monthly; maintain ≥ Minimum Amount Due (MAD) by **Due Date** to avoid late fees and interest on revolved balances.

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5) Credit Policy & Underwriting (Illustrative)

Risk Segmentation

- **Prime (A+/A):** Score ≥ 740; stable income; low inquiry velocity; clean DPD.
- **Near-Prime (B):** 680–739; moderate inquiries; controlled utilization.
- **Selective (C):** 640–679; lower starting limit; stricter controls or secured card.

Decision Inputs

- **Bureau** (score, utilization, delinquency, inquiries).
- **Income & Capacity** (NMI, variability, obligations/FOIR).
- **Stability** (employer tier, job/business vintage).
- **Fraud** (synthetic ID risk, dedupe, device/IP risk).
- **Program Caps** (new-to-credit, geography, DSA).
- **Secured Program** (FD LTV = 80%–90%; over-limit not permitted above FD).

Limit Assignment & Management

- **Initial Limit** using income multiples (e.g., 1–2× monthly net) and risk tier.

- **Temporary Enhancements** for travel/high-value purchases (time-bound).
- **Permanent CLI** after 6–12 months of clean repayment and healthy utilization.
- **Line Decrease** on risk triggers (persistent high utilization + missed payments).

Pricing/Fees

- APR tiered by risk (e.g., 24%–42% p.a. on revolved balances); fee waivers for spend thresholds.

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6) Card, Payments & Interest Mechanics

6.1 Billing Cycle & Statement

- **Statement Date:** Fixed monthly (e.g., 15th).
- **Due Date:** 15–20 days after statement (grace period for **new purchases** if total prior balance is paid in full).
- **Minimum Amount Due (MAD):** e.g., 5% of statement balance (subject to minimum floor) + past dues + EMI/loan instalments.

6.2 Interest Calculation (Illustrative)

- **Purchases: Interest-free** only if **full statement balance** is paid by due date; otherwise **Average Daily Balance** interest from date of transaction until payment posting.
- **Cash Advances:** Interest from **transaction date**; **no grace period**; separate fee + higher APR.
- **EMI/Loans:** Fixed amortization; interest included in EMI; prepayment rules per plan.

Example – Purchase Interest (Simplified)

- Statement balance: ₹50,000; you pay only MAD (₹2,500).
- Remaining ₹47,500 accrues interest from transaction dates until paid.
- New purchases also accrue interest **immediately** next cycle until entire previous balance is cleared (grace period lost).

6.3 Fees (Illustrative Tariff)

- **Joining/Annual Fee:** ₹0–₹10,000 (waiver on spend thresholds).
- **Finance Charges (APR):** Purchases 24%–42% p.a.; Cash advance 30%–48% p.a.

- **Late Fee:** ₹200–₹1,300 tiered by outstanding.
- **Over-Limit Fee:** 2.5% of amount over limit (min ₹500).
- **Cash Advance Fee:** 2.5%–3.5% (min ₹300).
- **Foreign Mark-Up:** 1.5%–3.5% of txn.
- **Card Replacement:** ₹100–₹500; **Rewards Redemption Fee:** ₹49–₹199 (if applicable).
- **EMI Processing:** 0%–3%; **BT Processing:** 1%–2% or flat fee.

All fees/charges and APR must be clearly disclosed in the **KFS* and on the website.

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7) Rewards & Benefits (Illustrative Framework)

- **Earning:** Base earn (e.g., 1 point/₹100) + **accelerated categories** (e.g., 5× on partner/online/fuel up to monthly caps).
- **Cashback:** Straight percentage (1%–5%) credited monthly/quarterly.
- **Miles/Travel:** Transfer partners; tiered bonuses; lounge access (domestic/international), forex mark-up offers.
- **Redemption:** Statement credit, partner vouchers, catalog, flight/hotel bookings; **expiry** (e.g., 24–36 months).
- **Exclusions:** Wallet loads, fuel surcharge, rent, or cash-like transactions—policy-based.
- **Protections:** Purchase protection, extended warranty, travel insurance (flight delay/baggage), personal accident cover—subject to T\&Cs.
- **Events/Offers:** No-cost EMI festivals, instant discounts with merchants, co-brand partner days.

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8) Technology & Security (Issuer Stack)

Core Components

- **Card Management System (CMS):** PAN/BIN, card lifecycle (issue/renew/reissue), PIN/limits, channel controls.
- **Authorization Switch:** Real-time approvals/declines; ISO 8583 integration with networks.

- **Risk Engine:** Velocity rules, geo/MCC checks, device fingerprint, machine-learning models.
- **3-D Secure (2.x):** Challenge/FRICTIONLESS flows; OTP or app-based approval.
- **Tokenization:** Network/device tokens (mobile wallets, merchant token vaults).
- **PCI DSS & HSMs:** PAN/keys protection; encryption at rest/in transit; PAN masking.
- **Disputes/Chargeback System:** Case management with reason codes, evidence packs, SLAs.
- **Ledger & GL:** Interest/fees accrual, revenue recognition, charge-off accounting.
- **Customer App/Portal:** Activation, PIN set/reset, controls, alerts, statements, rewards, EMI conversion, dispute filing.

Channel Controls (User-Facing)

- Enable/disable **online**, **international**, **contactless**, **cash advance**; set per-txn/daily limits; category blocks (e.g., gambling).

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9) End-to-End Lifecycle

9.1 Acquisition & Onboarding

- Lead → Pre-screen (soft bureau) → Application (eKYC) → Income capture → Decision → Sanction & KFS → Card issuance (virtual + physical) → Activation & PIN.

9.2 Authorization, Clearing & Settlement

- **Authorization:** Merchant sends auth → network → issuer (HFDC). Issuer checks available credit, fraud rules, CVV/PIN/3DS, and approves/declines.
- **Clearing:** Merchant submits batch; network calculates interchange/fees; issuer receives clearing file.
- **Posting:** Txn posts to card ledger; rewards accrue; holds released/converted.

9.3 Statementing & Payments

- Generate statement (PDF/app); push alerts; **Autopay** (MAD/Full).
- Accept payments via UPI/IMPS/NEFT/NACH/netbanking; post on T+0/T+1; allocate to **fees → interest → past due → current** (waterfall).

9.4 Service & Maintenance

- Address/email/mobile changes; add-on cards; CLI/CLD; reissue (loss/damage/expiry); channel toggles; international enablement; travel notes.

9.5 Disputes & Chargebacks (High-Level)

1. **Customer Dispute** (fraud/quality/duplicate/not received).
2. **Retrieval/Chargeback** raised with appropriate **reason code** within network deadline (commonly 30–120 days).
3. **Representment** by acquirer/merchant; **pre-arbitration** and **arbitration** if unresolved.
4. **Provisional credit** to cardholder during investigation (policy-based).
5. **Final decision** posted; communications & documents retained.

9.6 Delinquency, Collections & Recovery

- **Buckets:** 1–30 DPD (soft), 31–60 (mid), 61–90 (hard), 90+ **NPA/charge-off** policy.
- **Strategy:** Digital nudges → call centre → field agents (conduct compliant) → repayment plans/EMI conversions → settlement (policy) → charge-off → recovery/agency/legal.
- **Re-ageing/Restructure:** Controlled programs for genuine hardship; bureau reporting as required.

9.7 Renewal & Closure

- **Renewal:** Automatic reissue 1–2 months before expiry; fee per product.
- **Closure:** Customer can request closure via app/call; settle dues → block card → confirm closure within SLA; update bureau; release FD (if secured).

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10) Risk, Fraud & Early-Warning (EWS)

Application Fraud

- **Synthetic ID/first-party fraud:** Device/IP anomalies, data mismatches, bureau thin file + high enquiry velocity.
- **Mitigation:** eKYC with liveness, dedupe, document forensics, payroll/banking verification.

Transaction Fraud

- **CNP fraud (card-not-present):** Enumeration/BIN attacks, credential stuffing, phishing.

- **Mitigation:** 3DS 2.x, device binding, risk-based step-up, velocity rules, tokenization.

Card-Present Fraud

- **Skimming/Counterfeit**, **lost/stolen**, **shoulder surfing**.
- **Mitigation:** EMV, online PIN, contactless limits, hotlisting, real-time alerts.

Friendly Fraud/Chargeback Abuse

- Cardholder denies valid transaction.
- **Mitigation:** Clear descriptors, OTP/3DS evidence, delivery proof.

Portfolio EWS

- Rising 1–30 DPD, payment reversals, min-due behaviour spike, MCC/geography drift, sudden CL utilization jumps.

Controls

- Negative lists, merchant risk tiers, MCC blocks, rule-based authorization declines, second-factor enforcement, travel-mode settings.

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11) Legal, Regulatory & Conduct (Indicative)

- **KYC/AML:** Follow applicable Master Directions; verify identity, address, and beneficial ownership where applicable; periodic KYC refresh.
- **Customer-Protection:** Provide **KFS/MITC**, transparent **APR**, billing/interest examples, dispute/chargeback rights, and grievance redressal matrix.
- **Data Privacy:** Consent for bureau pulls, bank-data fetches, and 3DS authentication; purpose limitation; deletion/retention policy; role-based access.
- **Card Network Rules:** Follow scheme rules for auth, chargebacks, interchange, brand use, tokenization, and contactless limits.
- **PCI DSS:** Maintain certification for cardholder data environment; PAN masking and secure cryptography using **HSMs**.
- **Collections Conduct:** Time-of-day limits, no harassment; agent empanelment & training; call recording & audit.
- **Credit Bureau Reporting:** Accurate, timely; corrections within SLA on disputes/closures.

Note: Insert country-specific addendum (e.g., India-specific OTP mandate for e-commerce, tokenization rules, closure timelines, etc.) before go-live.

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12) Finance, Accounting & Capital

- **Revenue Streams:** Interest on revolved balances, loans/EMI interest, annual/joining fees, interchange share, FX mark-up, late/over-limit fees.
- **Expense Streams:** Rewards cost, scheme fees/assessments, fraud losses, chargeback write-offs, card manufacturing/courier, partner payouts/subventions.
- **Recognition:** EIR for interest/fees; reward liability accrual; breakage assumptions for rewards; charge-off & recovery accounting.
- **Provisioning:** ECL/stage-wise; macro overlays (unemployment, macro stress).
- **Capital & Risk:** Concentration limits by cohort, vintage curves, expected loss modeling; stress testing (utilization shock, payment rate decline).
- **Interchange & Settlement:** Daily reconciliation of scheme settlement vs issuer ledger; GL mapping and suspense clearing.

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13) Issuing Operations & SLAs

Fulfilment

- Card embossing/tokenization, PIN mailer/green-PIN, courier tracking; undelivered/RTS handling; masked PAN comms only.

Customer Servicing

- 24×7 hotlisting; PIN reset; dispute filing; EMI/loan booking; CLI/CLD requests; channel toggles.
- **SLA Examples:**
    - Card issuance (approved): 2–5 business days.
    - Virtual card: instant; PIN set: immediate.
    - Statement generation: fixed day each month.
    - Payment posting: T+0/T+1.
    - Dispute provisional credit decision: 5–10 business days (fraud); final resolution per network window.

Document Custody

- Digital DMS + restricted access. No PAN or full track data in emails/tickets.

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14) Partnerships & Marketing

- **Co-Brand Programs:** Retailer/airline/fuel/OTT; define earn rates, data-sharing, funding (subvention), joint campaigns, breakage settlements.
- **Affordability Constructs:** No-cost EMI, instant discounts, cashbacks; transparent T\&Cs; claw-backs for cancellations/returns.
- **Employer/Payroll Tie-ups:** Pre-approved offers, salary-connect verification.
- **Wallets & Pay Apps:** Tokenization, in-app controls, offer integration.
- **Loyalty Ecosystem:** Transfer partners, catalog, vouchers, promotions calendar.

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15) Customer Instructions – Best Practices

- **Pay in full** by due date to keep **grace period** and avoid interest.
- If unable, pay **more than MAD** to reduce interest.
- **Avoid cash advances** unless necessary (higher cost).
- Turn on **transaction alerts** and **channel controls** (international/online/contactless).
- **Report loss** immediately; hotlist via app/IVR; request replacement card.
- Review statements monthly; raise **disputes** promptly with details.
- Keep **KYC & contact** details updated; enable **autopay** (full or MAD).

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16) Example Calculations (Illustrative)

16.1 Revolving Interest Example

- Statement balance ₹60,000; you pay ₹6,000 (MAD). APR 36% p.a. → monthly ~3%.
- **Interest next cycle** ≈ average daily balance × 3% (monthly).
- New purchases **also** accrue interest immediately until the previous balance is fully cleared.

16.2 EMI Conversion Example

- Purchase ₹24,000 → 12-month EMI @ 15% p.a. + 1% processing (₹240).
- Monthly EMI ≈ ₹2,167; total interest ≈ ₹1,? (approx ₹1,? depends on daily rests; LOS gives exact).
- Available credit reduces by outstanding principal of EMI.

16.3 Balance Transfer Example

- Transfer ₹50,000 @ 1.2% p.m. for 12 months + 1% fee (₹500).
- EMI ≈ flat for BT-EMI program; effective APR disclosed in KFS; fee added to first statement.

(Numbers are indicative; exact schedules depend on rests, statement dates, and payment timings.)

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17) Templates & Annexures

A) Key Facts Statement (KFS) – Must Include

- APR (purchase, cash, loans/EMIs), grace period definition, MAD formula, fees/charges, billing & allocation waterfall, dispute rights & timelines, closure steps & timelines, grievance redressal.

B) Dispute Intake Form – Fields

- Txn date/amount/MCC/merchant, channel (POS/e-com/ATM), claim type (fraud/quality/duplicate), supporting docs (delivery proof, refund email, police complaint if applicable), customer declaration.

C) CLI/CLD Policy Extract

- Eligibility months, DPD limits, utilization bands, income triggers, negative events leading to CLD.

D) Rewards T\&Cs Summary

- Earn/exclusion list, caps, bonus rules, expiry, transfer partners, redemption fees, reversal policy on refunds/chargebacks.

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18) Glossary

- **PAN/BIN:** Primary Account Number / Bank Identification Number.
- **MCC:** Merchant Category Code.

- **EMV:** Chip standard for card-present security.
- **3-D Secure (3DS 2.x):** Authentication for e-commerce.
- **CNP/CP:** Card-Not-Present / Card-Present.
- **Interchange/MDR:** Fees paid by acquirer to issuer / merchant discount rate.
- **Chargeback/Representment/Arbitration:** Dispute stages under network rules.
- **DPD:** Days Past Due.
- **APR/EIR:** Annual Percentage Rate / Effective Interest Rate.

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19) Launch Readiness Checklist

- ✅ Board-approved product & credit policy; Delegation of Authority (DoA)
- ✅ BIN sponsorship & network certifications; PCI DSS readiness; HSMs live
- ✅ CMS/Authorization switch/Risk engine/3DS server in production
- ✅ KFS/MITC and tariff card published; website disclosures live
- ✅ Disputes/chargeback playbooks & SLAs; sample evidence packs
- ✅ Rewards engine tested; issuance/renewal/reissue workflows ready
- ✅ Collections playbook, hardship policy, and agent training completed
- ✅ MIS dashboards: approvals, utilization, revolve rate, delinquency, chargebacks, fraud, rewards cost, interchange
- ✅ Complaint & grievance mechanism live; TAT tracking

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